

COMMENTARY: PROTECT VIRGINIA'S HIDDEN GEMS – INDEPENDENT HOTELS



Mountain Lake Lodge, the Southwest Virginia resort where parts of "Dirty Dancing" were filmed, has been inducted into Historic Hotels of America.

MOUNTAIN LAKE LODGE

Mountain Lake Lodge, a **historic destination** in Southwest Virginia, attracts visitors from across the country and around the world. Some come to walk in the footsteps of cinema icons who filmed the American classic, "Dirty Dancing," while others seek adventure and romance in the timeless beauty of the Blue Ridge Mountains.



Heidi Stone

But our business is more than just a hotel — it is a pillar of the community, deeply rooted in the region for over 150 years. Like many independent hotels, we have faced significant challenges. More than a

decade ago, our resort was on the **brink of closure**. That experience reinforced a hard truth: as an independent business, everything is on the line. The 150 employees who depend on us for their livelihoods rely on our ability to keep our doors open. That's why federal tax policies designed to support small businesses and encourage investment are essential — not just for us but for the communities we serve.

One such policy, **Opportunity Zones**, has played a crucial role in allowing us to stay competitive. These zones were created to spur economic growth in distressed communities by incentivizing long-term investment. Thanks to Opportunity Zone incentives, we are able to reinvest in our property, enhance our facilities and attract more guests — all of which create jobs and stimulate the local economy. Located in one of the poorest communities in rural Virginia, our lodge depends on these federal initiatives to support growth and stability. Without these resources, projects that improve our property and enhance the guest experience would be far more difficult, if not impossible, to undertake.

Another critical policy is the **small business deduction**, which allows small businesses to deduct up to 20% of their qualified income. This provision directly benefits independent hotels like ours, making it possible to reinvest earnings into hiring more staff, maintaining facilities and keeping up with larger competitors. Independent hotels rely on policies like this to maintain financial flexibility. If this deduction were to expire or be weakened, it would create an additional burden on small business owners, forcing tough decisions about scaling back operations or postponing necessary improvements.

Equally important is **bonus depreciation**, which enables businesses to deduct a significant portion of the cost of new capital investments in

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the year they are put into service. For a historic property like ours, where ongoing renovations and equipment upgrades are essential, this policy provides an immediate financial incentive to reinvest. From upgrading guest rooms to replacing outdated infrastructure, bonus depreciation ensures that independent businesses like ours can make the capital investments necessary to remain competitive and provide a high-quality experience for our guests.

Right now, Congress is **debating critical tax provisions** that impact independent hotels and other small businesses across the country. After the devastating blow of COVID-19, the hospitality industry is still recovering. Tax policies like Opportunity Zones, the small business deduction and bonus depreciation provide the tools we need to expand, hire and serve our guests. If these provisions are weakened or eliminated, the consequences will be felt not just by business owners, but by employees, families and local economies nationwide.

I recently traveled to Washington, D.C., alongside fellow independent boutique hoteliers to meet with lawmakers and share our stories. While the halls of Capitol Hill can sometimes feel distant from our daily struggles, our voices matter. Our businesses matter. The jobs we provide and the communities we sustain matter. Travelers and families who choose small, unique destinations like ours are not just customers — they are the lifeblood of our industry.

The impact of small businesses in the hospitality sector is undeniable. Last year, hotels in Virginia generated \$10.7 billion in wages and salaries, contributed \$2.4 billion in state and local taxes, and employed over 40,000 people across the commonwealth. When small businesses thrive, entire communities benefit from the ripple effects of a strong local economy.

My message to Congress is clear: protect and preserve essential tax provisions that support small businesses. Policies like Opportunity Zones, the small business deduction and bonus depreciation are not just financial incentives — they are lifelines that enable us to invest, grow and keep tourism a vibrant economic force. Independent hotels are hidden gems across America, and they must be protected.